


# Stanbic Holdings: FY21 Earnings Note

Stanbic Holdings FY'21 EPS edged up 38.82% to **KES 18.23** higher than our expectations of **KES 14.30**. Additionally, PAT edged up 38.82% y/y to **KES 7.21Bn** driven by a 48.24% y/y decrease in Loan impairment provisioning. Customer deposits reduced 2.07% (+13.17% y/y expectations) to **KES 254.59Bn** while the loan book grew 16.82% to **KES 229.32Bn** (+22.73% y/y expectations). The board of directors proposed a final dividend of **KES 7.30** taking the total FY'21 dividend to **KES 9.00**. As such, we maintain our **BUY** recommendation representing a total return of 17.50%, inclusive of dividends, on the current share price of **KES 95.25** as at 2nd March 2022.

3nd March 2022

Current price: KES 95.25

Target price: KES 102.92

Total Return: 17.50%

52 Week High: KES 96.25

52 Week Low: KES 76.00

YTD Performance: 8.88%

EPS (FY21): 18.23

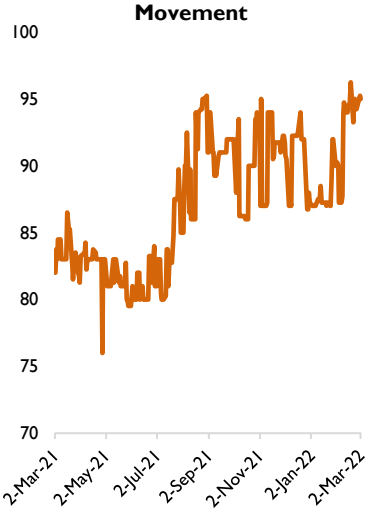
DPS (FY21): 9.00

- **Net Interest Income outpaces Non funded Income:** Recovery in lending was reflected in the Net Interest Income growth of 16.82% (+25.05% y/y expectations) to **KES 10.03Bn.** Non-funded income grew slower at 4.20% (+6.50% y/y expectations) to **KES 7.45Bn** attributable to a reduced deals environment in the investment banking division and existing mobile transaction waivers**.** We are impressed by the consistent almost balanced revenue mix, **58:42** for NII:NFI from **55:45** in FY'20, the best in the sector. Net Interest Margin (NIM) improved 32bps to 4.98%. We expect the bancassurance and Securities trading subsidiaries to continue supporting NFI growth, with South Sudan still weighing down on group operations.

- **Staff costs weighs down on efficiency:** The CTI ratio including impairment provisioning worsened 874bps 60.96% mainly on the back of a 75.11% increase in staff costs to **KES 12.71Bn.** In line with observed industry trend, Loan loss provisions decreased 48.24% y/y to **KES 2.52Bn** indicating reduced lending risk.

- **Asset quality concerns persists:** Gross NPLs reduced by 10.12% y/y to **KES 22.50Bn**. NPL ratio improved 256 bps to 9.28% from 11.84% in FY'20 below the current industry average of 13.10%. Consequently, the NPL Coverage worsened to 58.12% from 60.62% in FY'20. The bank also introduced digital lending, during the year, with 4,000 customers already signed up with loans of **KES 6.00Bn**. We foresee better economic conditions creating an improved lending environment despite the oncoming election season.

**Stanbic Share Price Movement**




## Outlook

Bottomline growth was driven by reduced loan impairment provisioning and Net Interest Income signifying a reduction in perceived lending risk. We expect Non-interest income growth to be driven by continued adoption of digital channels. The roll out of the UNAYO digital platform, a one stop shop for savings, transactions and borrowing, is expected to drive future growth. We remain positive on the growth prospects of the lender

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## Table 1 : Financial Statement Summary

| Income Statement | FY18 | FY19 | FY20 | FY'21 | y/y Change |
|---|---|---|---|---|---|
| Net Interest Income | 12,129.65 | 13,347.74 | 12,795.16 | 14,373.20 | 12.33% |
| Net non-Interest Income | 9,964.72 | 11,433.07 | 10,442.21 | 10,616.95 | 1.67% |
| **Total Operating income** | 22,094.37 | 24,780.81 | 23,237.37 | 24,990.15 | 7.54% |
| Provision for Impairment | (1,734.30) | (3,150.56) | (4,875.69) | (2,523.55) | (48.24%) |
| Total Operating expenses | (11,082.15) | (13,920.49) | (12,134.52) | (15,234.41) | 25.55% |
| **Profit before tax** | **8,947.76** | **7,709.76** | **6,227.15** | **9,755.74** | **56.66%** |
| **Profit after tax** | **6,277.17** | **6,380.62** | **5,192.24** | **7,208.09** | **38.82%** |
| Core EPS | 15.88 | 16.14 | 13.13 | 18.23 | 38.82% |
| DPS | 5.80 | 7.05 | 3.80 | 9.00 | 136.84% |

| Balance Sheet | FY18 | FY19 | FY20 | FY'21 | y/y Change |
|---|---|---|---|---|---|
| Government Securities | 72,260.41 | 70,077.82 | 87,583.54 | 59,535.56 | (32.02%) |
| Loans and Advances | 174,984.71 | 191,194.57 | 196,300.03 | 229,321.28 | 16.82% |
| **Total Assets** | **290,570.25** | **303,624.59** | **328,594.52** | **328,871.81** | **0.08%** |
| Customer Deposits | 219,493.91 | 224,672.91 | 259,970.05 | 254,588.38 | (2.07%) |
| Total Liabilities | 245,946.83 | 254,589.83 | 276,863.56 | 272,418.78 | (1.61%) |
| **Shareholder's Funds** | **290,570.25** | **303,624.59** | **328,594.52** | **328,871.81** | **0.08%** |

| Key Ratios | FY'2020 | FY'2021 | % points Change |
|---|---|---|---|
| Loan to Deposit ratio | 75.51% | 90.08% | 14.57% |
| Return on average equity | 10.31% | 13.33% | 3.02% |
| Return on average assets | 1.64% | 2.19% | 0.55% |
| Cost of Funding | 3.02% | 3.00% | (0.02%) |
| Net Interest Margin | 4.66% | 4.98% | 0.32% |
| Cost to Income With Impairment | 52.22% | 60.96% | 19.63% |
| NII/Operating Income | 55.06% | 57.52% | 2.45% |
| NFI/Operating Income | 44.94% | 42.48% | (2.45%) |

Source: Stanbic, AIB-AXYS




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